

Barak says he is looking to remove Epstein from business partnership

Israel Democratic Party chief writes online that he asked his lawyers to explore options to end relationship after new charges were announced

By **TOI STAFF**

14 Jul 2019, 4:58 am



Former prime minister Ehud Barak, at an event for outstanding soldiers at the President's Residence in Jerusalem, May 9, 2019. (Noam Revkin Fenton/Flash90)

Former prime minister Ehud Barak said Saturday he was looking into dissolving a business relationship with Jeffrey Epstein, the American financier charged with sexually abusing young girls.

Barak, who re-entered politics this month by forming the Israeli Democratic Party to run in upcoming elections, has come under scrutiny after his continuing business ties with Epstein emerged last week.

According to the Haaretz newspaper, in 2015 Barak formed a limited partnership company in Israel, called Sum (E.B.) 2015, to invest in a high-tech startup called Reporty. A large part of the investment money was supplied by Epstein.

Epstein, who served time in 2008 for solicitation, was arrested earlier this month and accused of paying girls hundreds of dollars in cash for massages and then molesting them at his homes in Palm Beach, Florida, and New York from 2002 through 2005. The charges, filed in New York, carry the potential for up to 45 years in prison.

Barak said Saturday that he had asked a lawyer to look into severing ties with Epstein as soon as the new charges became public.

“For close to five years, a firm linked to Epstein has been an passive investor in a limited partnership registered in Israel under the law and controlled by me. Every investor in the

partnership is beholden to the same commercial contract,” he wrote on Facebook. “Right after the current accusations in the Epstein case became known, I instructed my lawyers to look into the possibilities before us to remove the company tied to to Epstein from the limited partnership.”



Jeffrey Epstein, center, appears in court in West Palm Beach, Florida, July 30, 2008. (Uma Sanghvi/Palm Beach Post via AP)

Reporty, now called Carbyne, develops video streaming and geolocation software for emergency services. Barak, who serves as chairman of the board for the company, invested \$1.5 million in a 2015 seed round, along with \$300,000 from the Economy Ministry.

In 2016, Barak led a \$7.3 million second round of funding for the Tel Aviv-based firm. His contribution was not disclosed.

It is not known how much of the investment is tied to Epstein, who in 2008 signed a non-prosecution deal that required him to admit to a single state charge of soliciting prostitution from a minor and register as a sex offender.

The deal, which came to light last year, has come under fire for seemingly burying dozens of other accusations against the financier.

Speaking to Channel 12’s “Meet the Press,” Saturday Barak defended his decision to enter a business relationship with Epstein years after he went to jail, even after many of the financier’s other powerful friends and backers had severed ties.

“He’d served his sentence for soliciting prostitution — the indictment didn’t say she was a minor,” he said.

Barak noted that he was far from the only one to deal with Epstein after his jail time, saying his milieu included “the presidents of leading US universities, the world’s leading philanthropists, Nobel laureates, secretaries and deputy secretaries in the Obama administration and central figures in the Trump administration.



Protesters hold up signs of Jeffrey Epstein in front of the federal courthouse on July 8, 2019, in New York City. (Stephanie Keith/Getty Images/AFP)

“The American system itself did not label him as a persona non grata...the secretary [who just resigned](#) in the Trump administration was the prosecutor and he said he’d been negligent — so you expect me to have noticed [anything wrong]?”

Barak initially declined to confirm the report of the 2015 investment to Haaretz, saying he would not disclose the identities of private investors who worked with him.

“I saw a business opportunity and registered a partnership under my control in Israel,” Barak told Haaretz in comments published Thursday. “A small number of people I know are invested in it, in a commercial deal that benefited everyone. Since these were private investments, it would be inappropriate and wrong for me to reveal the identities of the investing parties.”

Netanyahu has seized on the reports of Barak’s connection to Epstein, taking to social media Thursday with the demand: “Investigate Ehud Barak immediately.”

The prime minister did not say what behavior on Barak’s part could be the subject of a criminal probe, as no action described in the report appeared illegal.

Barak responded on Twitter: “You don’t have to investigate — I confess. I gave a second chance, both to Epstein and to Bibi [Netanyahu]. Both are now neck-deep in criminality. I expect both to recuse themselves until the truth is ascertained.”

Netanyahu is at the center of three criminal investigations into alleged corruption, which he denies.